

Module14 - Accounting for Divisions

? Why divisionalise?

Divisionalisation = promoted managerial independence and allows discrete activities to be assessed as if they are stand along businesses.

Businesses grow in 2 ways

Organically - more sales of more products - cashflow & profits are used to invest in more production capacity

Acquisitions - financed either by own cash or issue of shares

Advantages for divisions

- Specialisation
- Size
- Motivation
- Sharper decisions
- Career mobility

Disadvantages for divisions

- Lack of control (Once mngt team takes over HO loses control)
- Cost
- Internal rivalries

Types of divisions

Cost centres

Held responsible for own incurrance of costs - no generation of revenue

Revenue centres

Generation of revenue. Mangers measured on abilityn to generate revenue

Profit centre

Costs and revenue are matched - divisional performance is assessed on bottomline profit

Investment centre

Profitability of division & also efficiency of managing assets

Defining profits and Investments

Aim of divisional accounting system

Allow the performance of its management to be measured

Providing info relevant to managers for decision making

At being equal an assets net book value will fall year by year thereby producing a rising trend in ROI

Asset Base Valuation

How should assets be valued for divisions?

Net Book value

= original purchase price - accumulated depreciation

Current replacement costs

Use suppliers catalogues and pricelist for replacement cost value of assets

Residual Income (RI) an alternative to ROI

Residual Income = Economic value Add (EVA)

Operating profit of a business less a charge for the use of assets employed to generate the profit

If outcome is positive then business has created shareholder value

if outcome is negative then eroded shareholder value

The inputed rate of Interest does matter!

Step by step to use ROI of assets:

1. work out what ROI is before investment

BI ROI = Controllable Profits / investments in net assets

2. work out what ROI is after the investment

AI ROI = Controllable Profits (current + new) / investments in net assets (Current + new)

Step by step to use RI of new assets:

RI = New profits - (cost of capital % X new investment)

For budgeted RI for each division after investments go through:

RI = Revised profits - (cost of capital % x revised investment (current & new))

For existing RI calculation:

RI = Controllable profits - (Cost of capital % x net assets)

RI expressed in money terms
ROI expressed as a percentage

RI overcomes the dysfunctional elements of ROI by encouraging managers to invest

Two problems must be overcome first before can use it:

1. The imputed charge for capital must be determined
2. The valuation of the asset base is once again a significant factor in the calculation

Transfer Pricing

Transfer pricing arises because of divisionalisation

Two prices are possible for transferring goods and services between divisions in the same company:

Cost based prices

where easily comparable market prices are not easily determined

Variable costs

What to consider?:

Full costs

The selling division would calculate the transfer price using variable costs plus a proportion of Fixed costs based on absorption rate

But selling division may have poor control over costs so advisable that buyers accountant audit selling division.

Negotiated costs

Usually conflict driven

cannot be adopted for long otherwise motivation of both divisions and their confidence in the system will deteriorate

NB workthrough case study page 14/12